11-6a Competition versus Antidumping

Two arguments exist against the practice of imposing antidumping restrictions on foreign firms. First, because dumping centers on selling “below cost,” it is often difficult (if not impossible) to prove the case, given the ambiguity concerning “cost.” The second argument is that if foreign firms are indeed selling below cost, so what? This is simply a (hyper)competitive action. When entering a new market, virtually all firms lose money on Day 1 (and often in Year 1). Until some point when the firm breaks even, it will lose money because it sells below cost. Domestically, cases abound of such dumping, which is perfectly legal. We all receive numerous coupons in the mail offering free or cheap goods. Coupon items are frequently sold (or given away) below cost. Do consumers complain about such good deals? Probably not. “If the foreigners are kind enough (or dumb enough) to sell their goods to our country below cost, why should we complain?”

One classic response is: What if, through “unfair” dumping, foreign rivals drive out local firms and then jack up prices? Given the competitive nature of most industries, it is often difficult to eliminate all rivals and then recoup losses by charging higher monopoly prices. The fear of foreign monopoly is often exaggerated by special interest groups, who benefit at the expense of consumers in the entire country. Joseph Stiglitz, a Nobel laureate in economics, writes that antidumping duties “are simply naked protectionism” and that one country’s “fair trade laws” are often known elsewhere as “unfair trade laws.”

One solution is to phase out antidumping laws and use the same standards against domestic predatory pricing. Such a waiver of antidumping charges has been in place between Australia and New Zealand, between Canada and the US, and within the EU. Thus, a Canadian firm, essentially treated as a US firm, can be accused of predatory pricing but cannot be accused of dumping in the United States. Since antidumping is about “us versus them,” such harmonization represents essentially an expanded notion of “us.” However, domestically, as noted earlier, a predation case is very difficult to make. Thus by legalizing “dumping,” competition can be fostered, aggressiveness rewarded, and consumer welfare enhanced.

Chapter 11: Managing Global Competitive Dynamics: 11-6a Competition versus Antidumping
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